

a life not like the typical “starving student.”

Michael seemed to have forgotten the true purpose of student loans, to pay for school expenses and not personal expenses. Otherwise, they would have been called “personal loans” instead of “student loans.”

It is important to realize that student loan debt cannot be discharged, even in bankruptcy. However, a student experiencing repayment difficulty (like Michael) has many options available to them to deal with this debt.

Deferment: You can receive a deferment for certain defined periods. A deferment is a temporary suspension of loan payments for specific situations such as reenrollment in school, unemployment, or economic hardship

Forbearance: Forbearance is a temporary postponement or reduction of payments for a period of time because you are experiencing financial difficulty. You can receive forbearance if you’re not eligible for a deferment.

Other forms of payment relief: Graduated and income-sensitive repayment plans are available. Graduated payment plans provide short-term relief through low interest-only payments followed by a gradual increase in payments (usually every two years). An income-sensitive payment plan offers borrowers payments based on yearly income. As that rises and falls, so do the payments.

Consolidation: By consolidating numerous Federal Loans (some private lenders now allow consolidation of private loans), the monthly payment will normally decrease.

Source: U.S. Department of Education

In 2005, the student loan default rate on federal loans was a low 4.5 percent. This is a dramatic reduction from a peak of 22 percent in 1990. The advent of many of the above repayment strategies may have significantly contributed to this reduction.

